

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure
Large Cap (>\$200B) · Report Date: June 23, 2026
Latest financials: Q2 FY2025 · Model data as of 2026-06-23

OVERWEIGHT

Blended Target: \$463.28

DCF + Comps + Analyst (see cross-check table)

Implied upside: +23.9%

Price (Jun): \$373.94

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$463.28 (+23.9% vs \$373.94); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **OVERWEIGHT** rating; blended target \$463.28. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.78T	Shares Out.	7428.4M
52-Week Range	\$356.28 – \$555.45	P/E (TTM)	22.3x
P/B	6.7x	Beta	1.10
Avg Volume	36.10M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Net Income Growth (%)	N/A	15.5%	18.3%	13.6%	10.2%
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
ROE (%)	32.8%	29.6%	35.1%	36.1%	37.9%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
Book Value / Share (\$)	36.14	46.24	46.24	50.98	53.53
P/E (x)	31.52	27.28	23.06	20.31	18.42
P/B (x)	10.35	8.09	8.09	7.34	6.99
Dividend Yield (%)	99.0%	99.0%	99.0%	99.0%	99.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$215.60	-42.3%	0% (excluded)	Diverges below other methods (45% of median)
Profile template weights	—	—	—	Standard operating company: DCF 28%, Comps 44%, Analyst 28%
Comps — P/E (peer median)	\$434.65	+16.2%	—	Peer median P/E 25.9x
Comps — EV/EBITDA (peer median)	\$400.84	+7.2%	—	Peer median 18.8x
Comps — P/S (peer median)	\$228.72	-38.8%	—	Peer median P/S 5.3x
Comps — Blended (avg. of available multiples)	\$400.84	+7.2%	61%	Included in blend
Analyst consensus (Yahoo Finance)	\$561.39	+50.1%	39%	Included in blend
Blended target (weighted)	\$463.28	+23.9%	100%	Comps 61% + Analyst 39%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	10.07%
Terminal g	4.00%
FCFE growth	9.15%
Base FCFE	\$71.61B
PV explicit (5Y)	\$366.36B
PV terminal	\$1.24T
Equity value (adj.)	\$1.60T
Implied price	\$215.60
vs. current	-42.3%

INDUSTRY ANALYSIS

1. Industry Overview

Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers Microsoft 365 commercial, enterprise mobility + security, windows commercial, power BI, exchange, sharepoint, Microsoft teams, security and compliance, and copilot; Microsoft 365 commercial products, such as Windows commercial on-premises and...

2. Key Trends

- Strong top-line growth (18.3% YoY)
- High operating leverage (46.3% margin)
- Sector: Technology | Industry: Software - Infrastructure

3. Risk Factors

- Standard sector cyclicalitity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$475.74B	28.3x	19.8x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$125.65B	17.8x	12.1x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$98.94B	57.1x	32.3x	12.6%	+22.1%
IBM	International Business	\$249.01B	23.4x	17.8x	15.6%	+9.5%
MSFT*	Microsoft Corporation	\$2.78T	22.3x	15.0x	39.3%	+18.3%

* Subject company. P/e in line with peer median; stronger profitability than peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.